Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2024
Question: Board Average Tenure
Include Modeled Scores : Yes

Board Average Tenure

Question

Does the company report the average tenure of board members on its board of directors/supervisory board in years?

Rationale

Corporate boards are tasked with monitoring companies' management teams on behalf of those companies' shareholders and other stakeholders. Boards are the direct representatives of these stakeholders and form one of the most important components of corporate governance. It is therefore important that the board members selected have the right experience and skills, are sufficiently independent, and act in the best interests of all stakeholders. Board tenure reflects retention and continuity on one hand, and refreshment of skills and perspectives, and independence on the other.

Research strongly supports the assertion that optimal board tenure is in the **7 to 12-year range**, and that firm value declines as average tenure deviates therefrom.

Performance Summary	
Question Level Company Performance	76
Question Weight	6
Year-on-Year Change	(24)
Industry Average Score	67
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Data Requirements

In this question, we expect disclosure on average board tenure and/or individual tenure of each member of the board of directors.

Tenure: the number of years a member has served on the board of directors. Please consider the calendar year as the base year. For example: if a director was appointed in March 2014, their tenure would be counted as 2022-2014 = 8 years.

Mergers and Acquisitions: If the company is a spin-off or merger, tenure from the previous company is counted.

If a company is less than 10 years old, the company should mark the question as "Not applicable".

For **two-tier boards:** Employee representatives and senior executives should not be included in the calculation for two-tier boards, as they are not considered in the calculation of the total size of the supervisory board. The management board members should not be included when calculating the average tenure.

For **one-tier boards:** All board members should be reported, including executive, independent and non-executive members.

Disclosure Requirements

Listed and/or publicly owned companies are required to provide links to public reports or corporate websites.

Non-listed companies are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and Privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to report on their corporate governance in the public domain as their key stakeholder is the general public.

References

Sterling Huang. *Board Tenure and Firm Performance*. INSEAD Business School. May 2013.

Canavan, et al. *Board tenure: How long is too long?* Directors & Boards. 2004.

Standards & Frameworks

ESG Disclosure Standards (China) - G.1.2.1 Composition and background of board members

GRI Disclosure - 2-9

WEF Metrics - Governance body composition

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company publicly discloses average tenure of board of directors	Applicable
Average tenure of board of directors (years)	5.660

Questionnaire

Please indicate the average tenure of board members on your company's board of directors/supervisory board in years. If your company has a one-tier board structure, this figure includes all members (executive directors, non-executive directors and independent directors). If your company has a two-tier board structure, this figure ONLY includes independent directors and non-executive directors (e.g. exclude employee representatives). Please indicate where this information is available.

Listed companies are required to provide links to public reports or corporate websites.

Non-Listed companies are required to provide internal documents and/or links to public reports or corporate websites.

1. (●) Average tenure of board members in years:
   5.66
2. ( ) We do not report this information.
3. ( ) Not applicable. Please provide explanations in the comment box below.
4. ( ) Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.